

Equity Group 9M20 Earnings Note

Equity Group's 9M20 PAT fell 14.6% y/y to KES 14.8B below our expectation of a 9.8% y/y decline in net earnings. The drop was driven by a 686.1% y/y surge in loan loss provisions to KES 14.8B and a 8.4% y/y growth in operating expenses to KES 30.5B. We maintain our BUY recommendation on Equity Group with a target price of KES 41.82 offering a potential upside of 17.5% on the current price of KES 35.59.

DATE:	**12th November 2020**
Target Price:	**KES 41.82**
Current Price:	**KES 35.59**
Upside:	**17.5%**
52 Week Low:	**KES 28.00**
52 Week High:	**KES 55.50**

Strong double-digit growth in the balance sheet

Deviating from our estimates of a 4.3% y/y growth in loans and advances, the group's loan book grew 30.1% y/y to KES 453.9B. This saw interest income increase 21.7% y/y to KES 52.1B which was further boosted by a 34.4% y/y increase in investment in government securities to KES 222.8B as increased liquidity saw banks opt to invest in government paper.

Improved NIM on lower cost of funds

Customer deposits grew 44.5% y/y to KES 691.0B higher than our expectation of a 10.0% y/y growth which saw interest expenses rise 21.6% y/y to KES 12.8B. Faster growth in deposits saw cost of funds decline 70bps y/y to 3.7% pushing up NIM 90bps to 11.7%.

Asset book quality deteriorates, NPL ratio worsens to 13.7%

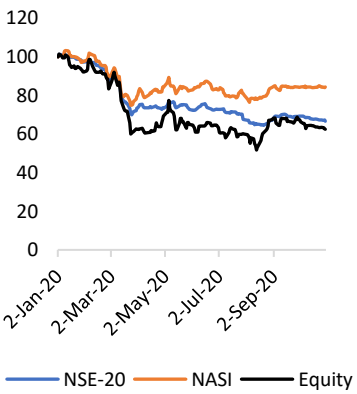
A general slowdown in business activity occasioned by the prevailing pandemic has seen a rise in the risk profile of customers. Despite the gradual reopening of the economy, cash in circulation has been falling reflecting a fall in household income hence reduced consumer demand. Fueled by this, loan loss provisions galloped 686.1% y/y to KES 14.8B in line with a 69.4% y/y rise in gross NPLs to KES 51.8B. Cost of risk rose to 6.5% higher than our estimate of 3.2%.

Outlook

The Group's 9M20 performance was below our expectation with a higher drop in earnings than anticipated. Given the group's high exposure to the SME sector, the seen surge in loan loss provisions was as expected. We laud the strong growth in the balance sheet shy of KES 1T especially with the declining cost of funds. The onset of the second wave of the pandemic continues to raise uncertainty, we expect containment measures to continue but expect a degree of leniency with the government encouraging the resumption of business activities.

The counter is trading at p/e and p/b multiples of 9.1x and 1.0x respectively.

Equity vs Indices



Source: AIB-AXYS Research

Analyst

Linda Kiraithe
+254719712031
lk@aib-axysafrica.com

Financial Statements

	9M19	2Q20	3Q20	9M20	chg y/y	chg q/q
Income Statement	KES M	KES M	KES M	KES M		
Interest Income	42,787	17,373	19,284	52,080	21.7%	11.0%
Interest Expense	10,503	4,283	4,608	12,769	21.6%	7.6%
Net Interest Income	32,284	13,090	14,675	39,311	21.8%	12.1%
Non Interest Income	22,549	6,087	10,418	24,818	10.1%	71.1%
Total Operating Income	54,832	19,177	25,093	64,128	17.0%	30.8%
Total Operating Expenses	28,163	9,298	11,482	30,517	8.4%	23.5%
Loan Loss Provision Expense	1,877	4,906	6,735	14,758	686.1%	37.3%
Operating Profit	26,669	9,879	13,611	33,611	26.0%	37.8%
Profit Before Tax	24,792	4,974	7,783	19,760	-20.3%	56.5%
Current Tax	7,316	1,222	1,816	4,717	-35.5%	48.7%
Profit After Tax	17,340	3,738	5,792	14,814	-14.6%	55.0%
EPS (KES)	4.59	0.98	1.54	3.93	-14.4%	57.1%
Balance Sheet						
Total Shareholders' Equity	108,701	123,360	137,582	137,582	26.6%	11.5%
Customer Deposits	478,101	543,894	691,033	691,033	44.5%	27.1%
Total Liabilities	568,404	623,109	796,332	796,332	40.1%	27.8%
Total Equity and Liabilities	677,105	746,469	933,914	933,914	37.9%	25.1%
Government and Other Securities	165,791	216,386	222,840	222,840	34.4%	3.0%
Net Loans and Advances	348,926	391,633	453,890	453,890	30.1%	15.9%
Total Assets	677,105	746,469	933,914	933,914	37.9%	25.1%
Key Ratios						
Gross NPL (KES M)	30,547	45,550	51,761	51,761	69.4%	13.6%
NPL Ratio	8.5%	11.2%	11.4%	11.4%		
Cost of Risk	1.1%	5.0%	5.9%	6.5%		
Loan to Deposits	73.0%	72.0%	65.7%	65.7%		
Yield on Interest Earning Assets	15.2%	11.4%	11.4%	15.4%		
Cost of Funds	4.4%	3.1%	2.7%	3.7%		
NIM	10.8%	8.3%	8.7%	11.7%		
Non Funded/Total Income	41.1%	31.7%	41.5%	38.7%		
Cost to Income Ratio	51.4%	48.5%	45.8%	47.6%		
ROE	31.9%	12.1%	16.8%	21.5%		
ROA	5.1%	2.0%	2.5%	3.2%		
Core Capital/TRWA	17.5%	16.9%	14.8%	14.8%		
Total Capital/TRWA	21.2%	20.2%	17.7%	17.7%		
Liquidity Ratio	54.2%	54.2%	55.7%	55.7%		
P/E (x)				9.1		
P/B (x)				1.0		

Source: AIB-AXYS Research, company fillings



CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email: trading@aib-axysafrica.com

Disclaimer

AIB-AXYS Africa and its parent company AXYS Group seek to do business with companies covered in their research reports. Consequently, a conflict of interest may arise that could affect the objectivity of this report. This document should only be considered a single factor used by investors in making their investment decisions. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. The opinions and information portrayed in this report may change without prior notice to investors.

This publication may not be distributed to the public media or quoted or used by the public media without prior and express written consent of AIB-AXYS Africa or AXYS Group.

This document does not constitute an offer, or the solicitation of an offer, for the sale or purchase of any security. Whilst every care has been taken in preparing this document, no representation, warranty or undertaking (express or implied) is given and no responsibility or liability is accepted by AIB-AXYS Africa or any of its employees as to the accuracy of the information contained and opinions expressed in this report.